Fifth, valuation gains suffer no tax on holding but suffer massive taxation on transfer.

Reforming the Wealth Taxation System

Taking into consideration the key characteristics of wealth, basic reforms are required in the system of taxation of wealth.

Income from the use of wealth should be taxed only as income. All types of incomes from all kinds of assets should be recognized as a separate part in the income tax code and taxed. This we have discussed in taxation of income.

The system of taxing gains/profit on transfer should be streamlined and integrated. Stamp duties on transfer of assets should be abolished. Only the capital gains on the transfer of assets should be taxed.

All assets, physical, financial or intellectual, should be subjected to wealth transfer tax at a uniform rate, which can be equal to the modal rate of tax on value added, say 20 per cent. The system of price indexation should be built in as price increase on account of inflation cannot be considered a capital gain or profit.

Wealth transfer tax should be considered on a par with the GST system and divided in two parts, like SGST and CGST. This will also take care of the loss of capital gains taxation by the Centre and stamp duty taxation loss by the states besides simplifying the entire taxation of assets transfer. The GST Council can be renamed the Wealth and GST Council.

For assessing the valuation gains made on wealth, an annual return of wealth should be introduced on the lines of an annual return of income. All assets should be included in this return with the valuation done by the owner (certified by a chartered accountant or other valuers) on the basis of general valuation principles determined by the government. No exemption of any kind whether financial assets or one house or whatever needs to be provided in terms of listing and valuation of assets.